

Handout 7.6: Four Questions and Profit Example

Name: _____ Date: _____ Period: _____

Unit 7, Lesson 7.6. Calculators allowed and encouraged, all period, for everybody.

Part 1: The four questions every business has to answer

#	The question	What it means
1	What _____?	Something that is wrong, hard, or annoying for a real person.
2	Who _____?	A specific kind of person, not “everybody.”
3	What do you _____?	The thing you make (a product) or the work you do (a service).
4	What does it _____, and what do you _____?	Cost is what you spend. Price is what you charge.

Product or service? Write one of each from your own work this year.

A **product** I made this year: _____

A **service** I could do for somebody: _____

Customer means the person who _____. It is not always the person who _____.

Part 2: The problem behind five real businesses

Work in your team. Five rows in five minutes. One sentence each. Move fast.

Business	What problem does it solve?	Who has that problem?
A barber shop		
A phone repair counter		
A school bus company		
A bakery		
A lawn mowing crew		



The push question, for every row: would somebody pay to make that problem go away, and about how much?

Part 3: Revenue, cost, and profit. One clean example.

The class T-shirt.

One shirt

Line	Amount
Blank shirt	\$4.00
Printing	\$2.50
What it costs to make ONE shirt	\$_____
What you charge for one shirt	\$12.00
Profit on ONE shirt (\$12.00 minus your cost)	\$_____

Forty shirts, and you sell all forty

Line	Math	Amount
Revenue (money in)	40 shirts times \$12.00	\$_____
Cost (money out)	40 shirts times \$6.50	\$_____
Profit	revenue minus cost	\$_____

Write the formula from memory:

_____ minus _____ equals _____

Now it breaks. You ordered 60 shirts and you only sold 40.

Line	Math	Amount
Revenue (you only sold 40)	40 times \$12.00	\$_____
Cost (you paid for 60)	60 times \$6.50	\$_____
Profit	revenue minus cost	\$_____

What happened? Write one sentence.

Hold up your answer for the 60-shirt profit on the count of three.

Part 4: Business or hobby?

A **hobby** costs you money and you do it because you like it. A **business** brings in more than it costs, and somebody else decides whether it is worth paying for.



A hobby is not worse than a business. Most of what makes life good is a hobby. This is a question about money, not about worth.

Vote on each. Then write your decision with a reason that uses one of the four questions **and at least one number**.

#	The situation	Business or hobby?	Why? Use a question number and a number.
a	A student bakes cookies for their family every Sunday.		
b	A student bakes cookies and sells them at a school event for \$1.00 each. They cost 35 cents to make.		
c	A student makes bracelets, gives them away, and spends \$30.00 a month on string.		

For situation b: if they sell 40 cookies, what is the profit?

Revenue: 40 times \$1.00 = \$_____ Cost: 40 times \$0.35 = \$_____ Profit: \$_____

Exit card

Fold over and hand in.

Name: _____

1. One real problem you have seen this week that somebody would pay to have solved, and who would pay:

Problem: _____

Who would pay: _____

2. The profit formula, from memory:

Word bank

English	Spanish
---------	---------

entrepreneur	emprendedor
business	negocio
problem	problema
customer	cliente
product	producto
service	servicio
revenue	ingresos
cost	costo
profit	ganancia (beneficio)

Sentence frames: “The problem is . ***The person who has it is .***” / “Revenue minus cost equals profit.”